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September 25, 2026

Jason Mikaelian, AICP, Acting Director of Planning & Community Development
City of Pasadena
175 N Garfield Avenue
Pasadena, CA 91101

Dear Jason Mikaelian, AICP:

**RE: City of Pasadena – Enacted Senate Bill 79 Transit-Oriented Development Ordinance Findings Letter**

Thank you for submitting the City of Pasadena's (City) enacted Senate Bill (SB) 79 Ordinance and supporting documents, adopted under Uncodified Ordinance No. 7472 (Ordinance), to temporarily exclude certain sites pursuant to Government Code section 65912.161, subdivisions (b)(1)(B)(i) and (b)(1)(F).

Pursuant to Government Code section 65912.160, subdivision (d)(3)(A), this letter consists of the California Department of Housing and Community Development's (HCD) findings that the Ordinance is **not in substantial compliance** with SB 79 as of the date of this letter. The standards and provisions of Government Code section 65912.157 apply in the City unless and until the City adopts and enacts an amended Ordinance and zoning map to comply with HCD's findings.[1]

**Finding**

1. **Section 1, Subsection 2 – *Within the Memorial Park, Del Mar, and Lake Station TOD zones:*** Section 1 of the ordinance states: "The following sites are excluded from Government Code Section 65912.157 until 18 months from July 1, 2026" and Subsection 2 states: "Within the Memorial Park, Del Mar, and Lake Station Transit-Oriented Development (TOD) zones: a) Sites with historic resources designated as of January 1 , 2025 on the state register (this would include sites designated at the national level as they are protected together) b) Sites zoned Multi-Family Residential (RM-12 and RM-16) and Single-Family Residential (RS)."

   HCD understands that the City's Ordinance temporarily excludes sites identified in Subsection 2 pursuant to Government Code section 65912.161, subdivision (b)(1)(B)(i). To utilize this provision, the City must demonstrate that at least 33

[1] Gov. Code, § 65912.161, subds. (b)(1) and (b)(2).

percent of the sites in a TOD zone allow at least 50 percent of the density and the residential floor area ratio (FAR) of what is allowed under Government Code section 65912.157, subdivision (a).[2] In addition, the TOD zone must allow at least 75 percent of the aggregate density allowed under Section 65912.157, subdivision (a) for that TOD zone.[3]

However, the City excluded certain SB 79-eligible sites from its calculations of the densities and FAR allowed under Government Code section 65912.157, subdivision (a) and therefore HCD is unable to confirm that the sites temporarily excluded pursuant to Government Code section 65912.161, subdivision (b)(1)(B)(i) would meet the criteria required by statute.

Specifically, the City designated the following general plan land use designations as ineligible for a SB 79 transit-oriented housing development project: Institutional; Open Space; R&D Flex space; and areas that do not have a land use designation.[4] HCD understands that, while the City considers these general plan land use designations as "non-residential sites," the City's corresponding zoning does principally or conditionally permit residential, mixed, or commercial development in these land use designations.

Government Code section 65912.157, subdivision (a) states (emphasis added): "A housing development project shall be an allowed use as a transit-oriented housing development on any site *zoned for residential, mixed, or commercial development* within one-half or one-quarter mile of a transit-oriented development stop…." While the statute does not explicitly define "mixed" or "commercial" uses, if the jurisdiction's zoning district principally or conditionally permits residential, residential mixed use, or commercial land use on a parcel within a TOD zone over which the jurisdiction has zoning authority, then SB 79 shall apply. HCD previously issued technical assistance explaining that "zoned for" means principally or conditionally permitted land use within a zone.[5] For example, if a site has a general plan land use designation of Institutional, yet the zoning district allows for commercial development with a conditional use permit, then SB 79 applies to the site.

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[2] Gov. Code, § 65912.161, subd. (b)(1)(B)(i).

[3] Id.

[4] On July 8, 2026, HCD emailed the City to confirm whether the City accounted for SB 79 capacity on all sites that principally and conditionally permit residential, mixed, or commercial development, and did not exclude sites with more than two units that are subject to rent or price control. The City responded on July 17, 2026, that "'Excluded non-residential sites' are sites that have a General Plan Land Use Designation of R&D Flex Space, Institutional, Open Space, or do not have a land use designation and are shown as '<Null>' on the spreadsheet" and did not confirm whether the City accounted for SB 79 capacity on all sites eligible for SB 79.

[5] HCD TA Letter to the City of Los Angeles, dated June 22, 2026. Available at: https://www.hcd.ca.gov/sites/default/files/docs/planning-and-community/HAU/los-angeles-sb-79-ta-hau-2738-062226.pdf.

Furthermore, the City defines "commercial use" as "[a] land use type listed in the 'Allowed Uses and Permit Requirements' tables in Articles 2 and 3 under 'Recreation, Education & Public Assembly Uses,' 'Office, Professional, and Business Support Uses,' 'Retail Sales,' 'Services,' and/or 'Transportation, Communication & Utility Uses' except those uses classified as Public, Semi Public Uses."[6]

According to the City's supplemental document,[7] certain sites in the zones listed below are considered ineligible for SB 79 although the zones principally or conditionally permit residential, mixed, or commercial uses and are therefore eligible for SB 79 and must be included in the City's SB 79 capacity calculations to determine whether a site is eligible for temporary exclusion per Government Code section 65912.161, subdivision (b)(1)(B)(i):

- *Central District Specific Plan - Mixed-Use Neighborhood (CD-MU-N):* Section 17.30.030, Table CDSP-1, principally or conditionally permits residential and commercial uses, including, but not limited to, mixed-use projects, multi-family housing, commercial recreation, and restaurants.
- *East Pasadena Specific Plan - Subarea d2 - Public/Semi-Public District (EPSP-d2-PS):* Section 17.32.050, Table 3-6, conditionally permits residential and commercial uses, including, but not limited to, senior affordable housing and medical offices.
- *Fair Oaks/Orange Grove Specific Plan - Limited Commercial District 2 (FGSP-C-2)*: Section 17.33.040, Table 3-14, principally or conditionally permits commercial uses, including, but not limited to, commercial entertainment, commercial recreation, and banks and financial services.
- *Lamanda Park Specific Plan - Commercial Flex (LP-CF):* Section 17.38.030: Table LPSP-1, principally or conditionally permits commercial uses, including, but not limited to, commercial recreation, and vehicle services, sales/leasing.
- *Open Space (OS)*: Section 17.26.030, Table 2-7, conditionally permits commercial uses, including, but not limited to, commercial entertainment and commercial recreation.
- *270-280 North Madison Avenue Planned Development - PD – 21 - Montgomery Engineering (PD-21)*: The municipal code states, "The following development standards apply to the property known as 270-280 North Madison Avenue…The land use allowed in this area is multi-family residential and accessory uses reasonably related to the permitted use as determined by the zoning administrator."
- *Public and Semi-Public (PS)*: Section 17.26.030, Table 2-7, conditionally permits residential and commercial uses, including, but not limited to, senior affordable housing, commercial recreation, and medical offices.
- *South-Fair-Oaks Specific Plan – Commercial Limited (SFO-CL)*: Section 17.35.030, Table SFOSP-1, principally or conditionally permits commercial uses,

[6] Pasadena Municipal Code, Section 17.80.020.L

[7] "Question 2 - temporarily exempted sites spreadsheet_revision v2.xlsx," received August 11, 2026.

including, but not limited to, convenience stores, restaurants, and animal grooming.

- *South-Fair-Oaks Specific Plan – Industrial Flex (SFO-IF)*: Section 17.35.030, Table SFOSP-1, principally or conditionally permits commercial uses, including, but not limited to, business and financial services, business support services, alcohol sales, food sales, and retail sales.
- *South-Fair-Oaks Specific Plan – Mixed-Use Core (SFO-MU-C)*: Section 17.35.030, Table SFOSP-1, principally or conditionally permits residential uses, including, but not limited to, mixed-use projects, multi-family housing, bars/taverns, and restaurants.
- *West Gateway Specific Plan - The Ambassador College campus west of St. John Avenue (WGSP-1A)*: Section 17.36.050: Table 3-16, principally or conditionally permits residential uses, including, but not limited to, multi-family housing, and single-family housing.

**Conclusion and Next Steps**

The City has until Tuesday, November 24, 2026 (60 days from this letter), to respond to the written findings.[8] Pursuant to Government Code section 65912.160, subdivision (d)(5), the City must consider the findings provided here and must either amend the ordinance to comply with HCD's findings or enact the ordinance without changes. Please note, pursuant to Government Code section 65912.161, subdivision (b)(2), the City's public zoning map must be updated to reflect any amendments to the sites or TOD zones that are and are not covered by Section 65912.157. If the City chooses to enact the ordinance without changes, it must include findings in its resolution to adopt the ordinance that explain the reasons the City believes the ordinance complies with Government Code section 65912.161 despite the findings provided by HCD.

HCD appreciates the cooperation of the City of Pasadena staff during the course of this review. If you have any questions or need additional information, please contact Auzzie Sheard at auzzie.sheard@hcd.ca.gov. HCD is committed to assisting the City in addressing all statutory requirements of SB 79.

Sincerely,



Grace Wu, Section Chief, Transit-Oriented Development
Housing Policy Development

Enclosure
Attachment A – Table 1 City of Pasadena Submittal Documents

[8] Gov. Code, § 65912.160, subd. (d)(4).

## ATTACHMENT A

**Table 1 Submittal Documents**

| | Filename | Document Description | Received Date |
|---|---|---|---|
| 1 | Ordinance No. 7472.pdf | Ordinance | 7/2/2026 |
| 2 | Ordinance No. 7472 - Proof of Publication.pdf | Proof of publication | 7/2/2026 |
| 3 | Zoning_Map_2026-06-25.pdf | Zoning Map | 7/2/2026 |
| 4 | SB 79 Delayed Effectuation Map for website.pdf | City map with TOD zones and temporary excluded sites | 7/2/2026 |
| 5 | SB 79 Ordinance second reading memo.pdf | City Council memo with site and TOD zone density calculations | 7/2/2026 |
| 6 | Response sheet.docx | Response to additional information request from HCD | 7/17/2026 |
| 7 | Question 2 - temporarily exempted sites spreadsheet_revision v2.xlsx | List of excluded sites with general plan land use designations and zoning districts | 8/11/2026 |
| 8 | Question 7 - Sites on local historic register.xlsx | Temporarily excluded sites with a historic resource designated as of January 1, 2025, on a local register (Government Code section 65912.161, subdivision (b)(1)(F)) | 7/17/2026 |